

Summary for chapter 8 :

Marketing and Advertising in E-Commerce

1. What is model of consumer behavior online?

The Major Influential Factors can be

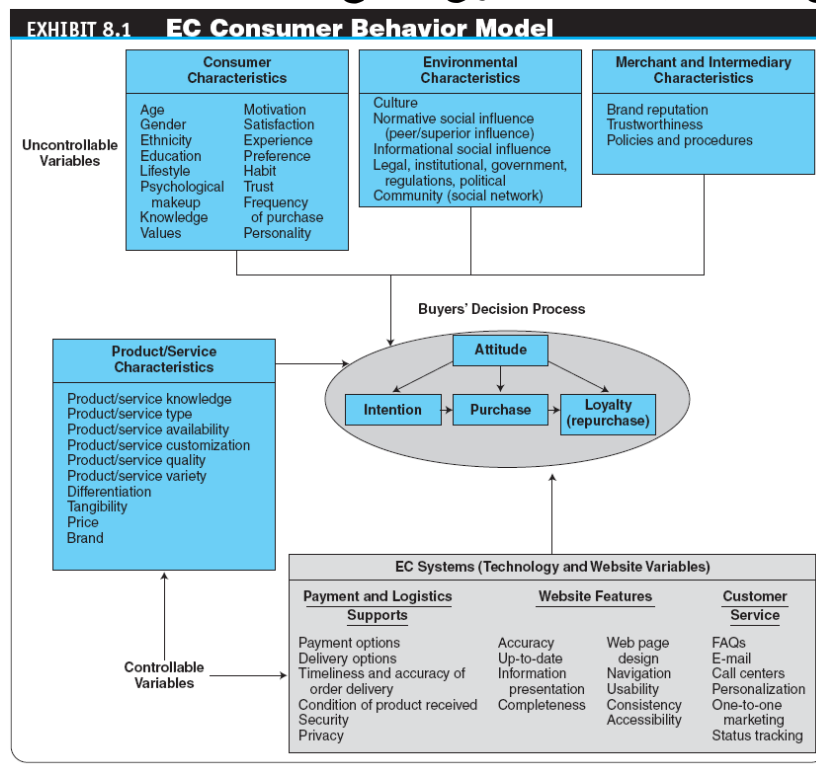
1. Uncontrollable factor

- Personal Characteristics
- Environmental Factors
 - Social Variables
 - i. Cultural/Community Variables
 - ii. Other Environmental Variables

2. Controllable factors

- Product/Service Factors
- Merchant and Intermediary Factors
- EC Systems
 - Motivational Factors
 - Hygiene Factors

✓ سلوك المستهلك عبر الإنترنت يتأثر بعوامل شخصية (مثل العمر والجنس)، وعوامل بيئية (الثقافة والمجتمع)، إضافةً إلى خصائص الموقع والمنتج.



2. The Consumer Purchasing Decision-Making Process:

- ✓ a generic purchasing-decision model contains:
 - Need identification

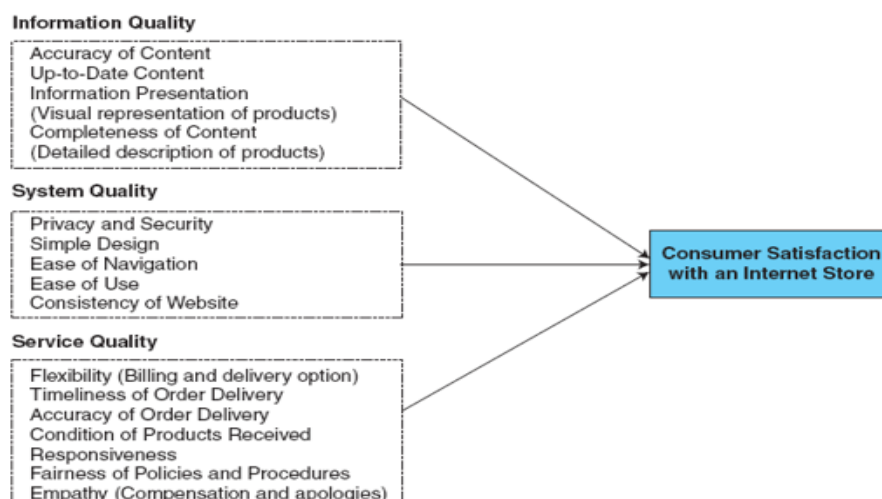
- Information search
 - a. product brokering: Deciding what product to buy.
 - b. merchant brokering: Deciding from whom (from what merchant) to buy a product
- Evaluation of alternatives
- Purchase and delivery
- Post purchase activities

✓ players in the consumer decision process

- **Initiator:** The person who recognizes and suggests the need to buy a specific product or service. الشخص اللي يقترح أو يخلق الحاجة للسلعة او الخدمة
- **Influencer:** The person who tries to convince other people to make a purchase. الشخص اللي بيأثر علي الناس يشتروا السلعة
- **Decider:** The person who makes the final buying decision. الشخص اللي بيأخذ قرار الشراء
- **Buyer:** The person who purchases the product or service and pays for it. الشخص اللي بيشتري ويدفع
- **User:** The customer that purchases and uses the product. الشخص اللي بيشتري ويستخدم

3. Loyalty, Satisfaction, and Trust in E-Commerce

- **Loyalty:** A deep commitment to repurchase a preferred product/service continually in the future, thereby causing repetitive same-brand or same brand-set purchasing, despite situational influences and marketing efforts that have the potential to cause switching behavior. هو التزام العميل بالشراء من علامة تجارية معينة بالرغم من الجهود التسويقية المنافسة لهذه العلامة لتحول العميل اليها.
 - **e-loyalty:** Customer loyalty to an e-tailer or loyalty programs delivered online or supported electronically. ولاء العميل لمتجر الكتروني.
- **Factors that affect customers satisfaction with internet shopping:**



- **TRUST IN EC**

- **Trust:** The psychological status of willingness to depend on another person or organization. الرغبة في الاعتماد على شخص آخر أو منظمة أخرى
- **online trust:** The belief that an online website or other digital entities can deliver what they promise so that the recipient trusts them. الرغبة في الاعتماد على ويب سايت.

- **How to Increase Trust in EC**

- Improve Your Website
- Affiliate with an Objective Third Party
- Establish Trustworthiness

- Other Methods for Facilitating Trust

- **reputation-based systems**: Systems used to establish trust among members of online communities where parties with no prior knowledge of each other use the feedback from their peers to assess the trustworthiness of the peers in the community
لأنظمة المستخدمة لبناء الثقة تجاة علامة تجارية معينة من خلال انشاء مجتمعات للمشاركة رودود الافعال تجاه هذه العلامة
- **Online Word of Mouth:** Online feedback or participation in social media forums.

4. Mass Marketing, Market Segmentation, and Relationship Marketing:

- EC changed from mass marketing to one-to-one marketing.
- **market segmentation:** The process of dividing a consumer market into logical groups for conducting marketing research and analyzing personal information. عملية تقسم السوق الي قطاعات او مجموعات متشابهة.
- **relationship marketing:** Marketing method that focuses on building a long-term relationship with customers. بناء علاقات طويلة الاجل مع العملاء
- **one-to-one marketing:** Marketing that treats each customer in a unique way. لكل عميل طريقه تناسبه
- **one-to-one marketing cycle:**



5. Personalization and Behavioral Marketing:

- **personalization:** The matching of services, products, and advertising content with individual consumers and their preferences. عرض الخدمات والمنتجات والمحتوى الإعلاني المناسب للأفراد وتفضيلاتهم.
- **user profile:** The requirements, preferences, behaviors, and demographic traits of a particular customer. تجميع المتطلبات والتفضيلات والسلوكيات والسمات الديموغرافية لعميل معين.
- **Personalization methods:**
 - **cookie:** A data file that is placed on a user's hard drive by a remote Web server, frequently without disclosure or the user's consent, which collects information about the user's activities at a site. عبارة عن ملف بيانات متخزن على سيرفر الويب سيجتم تجميع الأنشطة التي يقوم بها المستخدم في الموقع.
 - **behavioral targeting:** Targeting that uses information collected about an individual's Web-browsing behavior, such as the pages they have visited or the searches they have made, to select an advertisement to display to that individual. الاستهداف الذي يستخدم المعلومات التي تُجمع حول سلوك تصفح الفرد للويب، مثل الصفحات التي زارها أو عمليات البحث التي أجراها، لاختيار إعلان لعرضه على ذلك الفرد.
 - **collaborative filtering:** A market research and personalization method that uses customer data to predict, based on formulas derived from behavioral sciences, what other products or services a customer may enjoy; predictions can be extended to other customers with similar profiles. بحوث السوق والتشخيص. التي تستخدم بيانات العملاء للتنبؤ بناء على علوم البيانات وقد تستخدم أيضا للتنبؤ بسلوك عملاء مشابهيين.
 - Other Methods
 - **Rule-Based Filtering:** A company queries consumers about their preferences via multiple choice questions and uses the collected information to build patterns for predicting customers' needs. تعتمد الشركة على مجموعة من الاسئلة لتجميع معلومات عن العملاء لإستخدامها في التنبؤ باحتياجاتهم.
 - **Content-Based Filtering:** This technique allows vendors to identify customer preferences by the attributes of the product(s) they buy or intend to buy. الشركة بتعرف تفضيلات العملاء من المنتجات التي يشتروها أو ناوين يشتروها.
 - **Activity-Based Filtering:** Filtering rules can also be built by logging the user's activities on the Web. يتم تصنيف العملاء عن طريق تسجيل أنشطة المستخدم على الويب

6. Market Research for E-Commerce:

- الطرق المستخدمة في بحوث السوق
 - Market Segmentation Research
 - Data Collection and Analysis
 - Online Surveys
 - Hearing Directly from Customer

7. Data Collection in the Web 2.0 Environment:

- Polling: People like to vote expressing their opinions on certain issues.
- Blogging
- Chatting
- Tweeting
- Folksonomy: This social tagging makes data easier to find and access.

1) observing Customers' Movements Online:

- **transaction log:** A record of user activities at a company's website. سجل للأنشطة التي يفعلها العميل علي موقع الشركة.
- **clickstream behavior:** Customer movements on the Internet. يتم فيه متابعة تحركات العميل علي الانترنت والموقع التي يزورها وماذا يفعل فيها.
- **Web bugs:** Tiny graphics files embedded in e-mail messages and in websites that transmit information about users and their movements to a Web server. ملفات قد تكون ملحقه بايميل او موقع الشركة تراقب ما يفعله العميل وترسل معلومات للسفر.
- **Spyware:** Software that gathers user information over an Internet connection without the user's knowledge. برنامج يجمع معلومات عن العميل بدون علمه.
- **clickstream data:** Data that occur inside the Web environment; they provide a trail of the user's activities (the user's clickstream behavior) in the website. البيانات التي يتم تجميعها من أنشطة العميل
- **Web mining:** Data mining techniques for discovering and extracting information from Web documents; explores both Web content and Web usage. اساليب تنقيب البيانات واستخراج المعلومات من ملفات الويب .

2) Privacy Issues in Market Research:

- Collecting data from customers, sometimes without their knowledge, may constitute an invasion of privacy.
- Tracking customers in malls by mac address.
- تجميع بيانات عن العملاء او متابعتهم دون علمهم يعتبر انتهاك للخصوصية

3) HOW TO OVERCOME EC limitation??

- **Biometrics:** An individual's unique physical or behavioral characteristics that can be used to identify an individual precisely (e.g., fingerprints).
 - التعرف علي العملاء بدقة من خلال ما يفعلونه علي موقع الشركة يسمى fingerprint

4) Web Advertising

- **interactive marketing**: Online marketing, facilitated by the Internet, by which marketers and advertisers can interact directly with customers, and consumers can interact with advertisers/vendors. التسويق التفاعلي الذي يتم من خلال الانترنت يزيد التفاعل بين العملاء والمعلنين .
- **some basic internet advertising terminology**:
 - **ad views**: The number of times users call up a page that has a banner on it during a specific period; known as impressions or page views. اعلانات مبنية علي المشاهدات.
 - **button**: A small banner that is linked to a website; may contain downloadable software. البزرات المرتبطة بمواقع معينة قد تؤدي الي تحميل برامج.
 - **page**: An HTML (Hypertext Markup Language) document that may contain text, images, and other online elements, such as Java applets and multimedia files; may be generated statically or dynamically.
 - **click (ad click)**: A count made each time a visitor clicks on an advertising banner to access the advertiser's website. اعلانات مبنية علي عدد الكيكلات علي بنر معين
 - **CPM (cost per mille, i.e., thousand impressions)**: The fee an advertiser pays for each 1,000 times a page with a banner ad is shown. التكلفة التي يتحملها المعلن عندما يتم عرض البزر 1000 مرة.
 - **conversion rate**: The percentage of clickers who actually make a purchase. نسبة الذين يقومون بالشراء الفعلي عند الضغط علي الاعلان
 - **click-through rate/ratio (CTR)**: The percentage of visitors who are exposed to a banner ad and click on it. نسبة الذين يرون البزير ويقومون بالضغط عليه.
 - **Hit**: A request for data from a Web page or file. طلب البيانات من ويب بيج
 - **unique visit**: A count of the number of visitors entering a site, regardless of how many pages are viewed per visit. عدد الزوار الذين يدخلون موقعًا، بغض النظر عن عدد الصفحات التي تمت مشاهدتها في كل زيارة.
 - **stickiness**: Characteristic that influences the average length of time a visitor stays in a site. ايه الخصائص الي هتخلي الشخص يقعد اكبر وقت في الويب .سيت.

- **Advertising Online and Its Advantages**

- Cost
- Richness of format
- Personalization
- Timeliness
- Location-based
- Linking
- Digital branding

5) Online Advertising Methods

- **major categories of ads**

- **Classified Ads:** These ads usually use text, but lately may include photos. The ads are grouped according to classification. تعتمد علي النصوص ونادرا ما تشمل صور. ويتم تقسيم الاعلانات فيها الي تصنيفات مثل الاعلانات في الجرائد
- **Display Ads:** use graphics, logos, colors, or special designs. تعتمد علي الصور والتصميمات
- **Interactive Ads:** These ads use online or offline interactive media to interact with consumers and to promote products, brands, and services. هي الاعلانات التفاعلية التي تعتمد التفاعل مع العملاء من اجل شراء السلعة او المنتج.
- **Banner:** On a Web page, a graphic advertising display linked to the advertiser's Web page.
 - **keyword banners:** Banner ads that appear when a predetermined word is queried from a search engine. بنرات يعتمد ظهورها علي كلمات مفتاحية. عندما يتم استخدامها في محركات البحث.
 - **random banners:** Banner ads that appear at random, not as the result of the user's action. بنرات تظهر بشكل عشوائي.
 - **live banners:** A banner ad that is created dynamically (or whose content is created dynamically) at the time of display, instead of being preprogrammed with fixed content. بنرات يتم انشاءها بشكل آلي عند عرضها.
- **pop-up ad:** An ad that appears in a separate window before, after, or during Internet surfing or when reading e-mail. اعلان يظهر في ويندو منفصلة.
- **pop-under ad:** An ad that appears underneath the current browser window, so when the user closes the active window, the ad is still on the screen. اعلان يظهر أسفل نافذة المتصفح الحالية، لذا عندما يغلق المستخدم النافذة النشطة، يظل الإعلان موجودًا على الشاشة

- **e-mail marketing**: A form of direct marketing which uses e-mail as a means of communicating commercial messages to an audience. طريقة تسويق مباشرة من خلال الايميل لتوصيل الرسائل التسويقية للعملاء.
- **search advertising**: A method of placing online advertisements on Web pages that show results from search engine queries. الاعلانات التي تظهر من خلال محركات البحث
 - **URL Listing**: ممكن يتم الدفع لمحركات البحث ليظهر لينك موقع شركتك في النتائج الاولى من محركات البحث.
 - **Keyword Advertising**: you can buy keyword ads to appear on the first page of the results.
 - **Search engine optimization (SEO)**: The craft of increasing site rank on search engines; the optimizer uses the ranking algorithm of the search engine (which may be different for different search engines) and best search phrases, and tailors the ad accordingly.
 - استخدام بعض الخوارزميات وتحسين ال navigation داخل الويب سيت ليظهر في النتائج الاولى لمحركات البحث
 - **google: the online advertising king**
 - **Google's Major Advertisement Methods**:
 - **AdWords**: AdWords is an advertising program for sponsored ads.
 - **AdSense**: website publishers can earn money by displaying targeted Google ads on their website.
 - **viral marketing (viral advertising)**: Word-of-mouth marketing by which customers promote a product or service by telling others about it. يقوم العملاء بالترويج لمنتج أو خدمة عن طريق إخبار الآخرين عنها
- **video ads**
 - **Consumer-Generated Videos**
 - **interactive video**: A technique used to blend user interaction and videos
 - **viral video**: A video clip that gains widespread popularity through the process of Internet sharing, typically through e-mail or IM messages, blogs, and other media-sharing websites. الاعلانات التي تظهر في الفيديوها التي تحقق مشاهدة عالية.
- **advergaming**: The practice of using computer games to advertise a product, an organization, or a viewpoint. الاعلانات التي تظهر في الالعاب الالكترونية
- **augmented reality (AR)**: A live direct or indirect view of a physical, real-world environment whose elements are *augmented by computer-generated* sensory input, such as sound or graphics. استخدام المستشعرات في البيئة المحيطة يمكن ايضاً استخدامها في الاعلانات
- **mobile marketing**: Conducting marketing on or with a mobile device

- **mobile advertising (m-advertising):** Ads sent to and presented on mobile devices.

12. Advertising Strategies and Promotions

- **Spamming:** Using e-mail to send unwanted ads (sometimes floods of ads).
- **permission advertising:** Advertising (marketing) strategy in which customers agree to accept advertising and marketing materials (known as opt-in).
الاعلان القائم على موافقة العملاء للمشاركة
- **Affiliate marketing:** A marketing arrangement by which an organization refers consumers to the selling company's website. تحويل العملاء الى موقع شركة اخري
 1. affiliate network: A network that acts as an intermediary between publishers (affiliates) and merchant affiliate programs. شبكة وسطية لادارة برامج التابعة.
- Ads as a Commodity (Paying People to Watch Ads).
- Personalized Ads.
- **Webcasting:** A free Internet news service that broadcasts personalized news and information, including seminars, in categories selected by the user Ad Exchanges. خدمة اخبارية تنشر معلومات شخصية أو اخبار بهدف الاعلان
- online events, promotions, and attractions
- Live Web Events for Advertising
- Localization: The process of converting media products developed in one environment (e.g., country) to a form culturally and linguistically acceptable in countries outside the original target market. عملية تحويل المنتجات الإعلامية التي تم تطويرها في بيئة واحدة (على سبيل المثال، بلد ما) إلى شكل مقبول ثقافيًا ولغويًا في بلدان خارج السوق المستهدفة الأصلية
- intelligent agents' applications. استخدام الاجانت لاعلانات

6) Advertisement as a Revenue Mode

- **pay per click (PPC):** A popular Internet advertising payment model where advertisers pay their host only when the ad is clicked on
- **Choose-Your-Own-Ad Format**

Put true or false

- 1) Individual consumers and organizational buyers are two types of online consumers.
 - Answer: TRUE
- 2) Service factors are the functions available on the website to provide direct support in the transaction process.
 - Answer: false Motivational Factors
- 3) In the consumer decision process, the influencer is the person who ultimately makes the buying decision.
 - Answer: FALSE
- 4) In the consumer decision process, the user is the person who consumes or uses a product or service.
 - Answer: TRUE
- 5)) Trust and customer satisfaction are the two main marketing goals.
 - Answer: FALSE
- 6) E-loyalty refers to a customer's loyalty to an e-tailer or loyalty programs delivered online or supported electronically.
 - Answer: TRUE
- 7) It is not the total number of reviews that influences customer repurchase intention, but the percentage of positive reviews.
 - Answer: TRUE
- 8) Trustworthiness can be achieved through integrity, competence, and privacy.
 - Answer: FALSE
 - integrity, competence, and security.
- 9) One of the greatest benefits of EC is its ability to match products or services with individual consumers.
 - Answer: TRUE
- 10) When compared to mass marketing and market segmentation, one-to-one marketing has few campaigns.
 - Answer: FALSE
- 11) Personalization, behavioral targeting, and data mining are three key issues related to one-to- one marketing.
 - Answer: FALSE
- 12) Market segmentation can be done with the aid of data modeling and data warehousing tools.
 - Answer: TRUE
- 13) Moderated focus groups conducted in chat rooms is one method for collecting online data.
 - Answer: TRUE
- 14) Folksonomy is one of several data collection methods available in a Web 2.0 environment.
 - Answer: TRUE
- 15) Biometric tracking occurs inside the Web environment and provides a trail of the user's activities in the website.

- Answer: FALSE
- 16) The ethics and legality of Web tracking is one of several limitations of online research methods.
 - Answer: TRUE
- 17) A cookie is a small banner that is linked to a website and may contain downloadable software.
 - Answer: FALSE
 - Button: A small banner that is linked to a website; may contain downloadable software.
- 18) Viewpoints are the number of times users call up a page that has a banner on it during a specific period.
 - Answer: FALSE
 - ad views
- 19) Touch point refers to a count that is made each time a visitor clicks on an advertising banner to access the advertiser's website.
 - Answer: FALSE
- 20) RPM is the fee an advertiser pays for each 1,000 times a page with a banner ad is shown.
 - Answer: FALSE
- 21) Conversion rate refers to the percentage of clickers who actually make a purchase.
 - Answer: TRUE
- 22) Stickiness is the characteristic that influences the average length of time a visitor stays in a site.
 - Answer: TRUE
- 23) Ad categories include classified, display, and static.
 - Answer: FALSE
- 24) 28) Random banners appear when a predetermined word is queried from a search engine.
 - Answer: FALSE
- 25) Live banners appear at random, not as the result of the user's action.
 - Answer: FALSE
- 26) A pop-under ad appears underneath the current browser window, so when the user closes the active window, the ad is still on the screen.
 - Answer: TRUE
- 27) E-mail advertising refers to adding advertisements to e-mail messages sent to customers.
 - Answer: TRUE
- 28) Viral marketing is word-of-mouth marketing by which customers promote a product or service by telling others about it.
 - Answer: TRUE
- 29) Using e-mail to send unwanted ads is called spamming.
 - Answer: TRUE

Choice:

1. The major influential factors affecting consumer behavior include
 - A) product/service factors.
 - B) merchant and intermediary factors.
 - C) personal characteristics.
 - D) all of the above.

Answer: D

2. Deciding what product to buy best describes
 - A) merchant brokering.
 - B) product brokering.
 - C) electronic decision support.
 - D) social shopping.

Answer: B

3. Deciding from whom to buy a product best describes
 - A) customer loyalty.
 - B) product brokering.
 - C) merchant brokering.
 - D) electronic branding.

Answer: C

4. The belief that an online website or other digital entities can deliver what they promise so that the recipient trusts them best defines
 - A) online trust.
 - B) reputation-based system.
 - C) customer loyalty.
 - D) e-trust.

Answer: A

5. A marketing method that focuses on building a long-term relationship with customers best defines
 - A) one-to-one marketing.
 - B) market segmentation.
 - C) relationship marketing.
 - D) collaborative marketing.

Answer: C

6. 5) Marketing that treats each customer in a unique way best describes
 - A) directional marketing.
 - B) ubiquitous marketing.
 - C) specialized marketing.
 - D) one-to-one marketing.

Answer: D

7.) With mass marketing, the focus is on the
 - A) product.
 - B) group.
 - C) customer.

D) location.

Answer: A

8. 28) Data collection in the Web 2.0 environment includes each of the following except

A) folksonomy.

B) chatterbots.

C) scripting.

D) polling.

Answer: C

9. A record of user activities best defines

A) user profile.

B) electronic reference point.

C) banner.

D) transaction log.

Answer: D

10.) Customer movements on the Internet best describes

A) clickstream behavior.

B) cookies.

C) Web bugs.

D) Web slugs.

Answer: A

11. Tiny graphics files embedded in e-mail messages and in websites that transmit information about users and their movements to a Web server best describes

A) Web slugs.

B) Web bugs.

C) Web cookies.

D) Web monitors.

Answer: B

12. 32) Software that gathers user information over an Internet connection without the user's knowledge best defines

A) ad-aware.

B) collaborative filtering.

C) spyware.

D) Web mining.

Answer: C

13. Data mining techniques for discovering and extracting information from Web documents, exploring both Web content and Web usage, best defines

A) Web brokering.

B) collaborative filtering.

C) page filtering.

D) Web mining.

Answer: D

14. An individual's unique physical or behavioral characteristics that can be used to identify an individual precisely best defines

A) biometrics.

- B) cookies.
- C) Web bugs.
- D) page monitor.

Answer: A

15. The craft of increasing site rank on search engines best describes

- A) page conversion.
- B) analytical marketing.
- C) search engine optimization.
- D) collaborative placement.

Answer: C

16. The most popular mobile ad is

- A) advertising within mobile games.
- B) a short message.
- C) multimedia advertising.
- D) ads in mobile videos.

Answer: B

17. A marketing arrangement by which an organization refers consumers to the selling company's website best defines

- A) affiliate network.
- B) affiliate marketing.
- C) affiliate brokering.
- D) clickstream marketing.

Answer: B